

The Coca-Cola Company

Breath of Fresh Air

KO's 2025 guidance was broadly as expected, which was notable given worse FX and tax imply even better profit growth on an underlying basis than we and the Street had previously contemplated.

KO posted a healthy 4Q beat and guided to the high end of its medium-term OSG algorithm (+5-6%) and EPS growth of +2-3% (broadly in-line with the Street's +LSD forecast) in 2025. And while the overall clean (and straightforward) print yesterday stood out to us among C4Q earnings on those attributes alone, we were particularly struck by KO's profit guide that managed to absorb over a ~300 bps incremental drag from FX and tax versus our prior numbers thanks to the company's increasing ability to leverage its strong top line growth across the P&L.

KO: Quarterly and Annual EPS (USD)

	2024	2025			2026			Change y/y	
FY Dec	Actual	Old	New	Cons	Old	New	Cons	2025	2026
Q1	0.72A	0.72E	0.74E	0.73E	N/A	0.81E	0.78E	3%	9%
Q2	0.84A	0.87E	0.84E	0.85E	N/A	0.92E	0.90E	0%	10%
Q3	0.77A	0.80E	0.79E	0.79E	N/A	0.86E	0.85E	3%	9%
Q4	0.55A	0.54E	0.58E	0.55E	N/A	0.62E	0.55E	5%	7%
Year	2.88A	2.93E	2.94E	2.95E	3.13E	3.21E	3.16E	2%	9%
P/E	23.4		23.0			21.1			

Consensus numbers are from Bloomberg received on 11-Feb-2025; 13:50 GMT
Source: Barclays Research

KO **OVERWEIGHT**
Unchanged

U.S. CHPC & Beverages **NEUTRAL**
Unchanged

Price Target **USD 73.00**
raised 11% from USD 66.00

Price (11-Feb-25) **USD 67.60**

Potential Upside/Downside **+8.0%**

Source: Bloomberg, Barclays Research

Market Cap (USD mn) **291207**

Shares Outstanding (mn) **4307.80**

Free Float (%) **81.35**

52 Wk Avg Daily Volume (mn) **14.1**

Dividend Yield (%) **2.87**

Return on Equity TTM (%) **41.86**

Current BVPS (USD) **5.78**

Source: Bloomberg

Price Performance **Exchange-NYSE**

52 Week range **USD 73.53-57.93**



Source: IDC
[Link to Barclays Live for interactive charting](#)

U.S. CHPC & Beverages

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U.S. CHPC & Beverages

NEUTRAL

The Coca-Cola Company (KO)

OVERWEIGHT

Income statement (\$mn)	2024A	2025E	2026E	2027E	CAGR
Revenue	46,897	48,030	50,772	53,673	4.6%
EBITDA (adj)	15,160	15,907	17,069	18,313	6.5%
EBIT (adj)	14,085	14,754	15,850	17,025	6.5%
Pre-tax income (adj)	15,333	16,068	17,334	18,663	6.8%
Net income (adj)	12,463	12,707	13,849	14,912	6.2%
EPS (adj) (\$)	2.88	2.94	3.21	3.45	6.2%
Diluted shares (mn)	4,320.3	4,317.0	4,317.0	4,317.0	0.0%
DPS (\$)	1.94	2.02	2.10	2.18	4.0%
Margin and return data	2024A	2025E	2026E	2027E	Average
Gross margin (%)	61.1	61.5	61.8	62.1	61.6
EBITDA (adj) margin (%)	32.3	33.1	33.6	34.1	33.3
EBIT (adj) margin (%)	30.0	30.7	31.2	31.7	30.9
Pre-tax (adj) margin (%)	32.7	33.5	34.1	34.8	33.8
Net (adj) margin (%)	26.6	26.5	27.3	27.8	27.0
ROIC (%)	25.6	23.3	24.0	24.8	24.4
ROA (%)	11.4	11.5	11.8	12.0	11.7
ROE (%)	47.3	47.9	44.0	40.2	44.8
Balance sheet and cash flow (\$mn)	2024A	2025E	2026E	2027E	CAGR
Cash and equivalents	10,828	5,451	7,761	10,969	0.4%
Total assets	100,549	101,522	107,316	113,447	4.1%
Short and long-term debt	44,522	44,522	44,522	44,522	0.0%
Total liabilities	74,177	75,017	75,811	76,361	1.0%
Net debt/(funds)	29,951	35,328	33,018	29,810	-0.2%
Shareholders' equity	26,372	26,504	31,505	37,086	12.0%
Change in working capital	-6,234	-122	-365	-93	N/A
Cash flow from operations	6,805	11,728	13,512	14,922	29.9%
Capital expenditure	-2,064	-2,209	-2,183	-2,308	N/A
Free cash flow	4,741	9,518	11,329	12,614	38.6%
Valuation and leverage metrics	2024A	2025E	2026E	2027E	Average
P/E (adj) (x)	23.4	23.0	21.1	19.6	21.8
EV/sales (x)	6.5	6.4	6.0	5.7	6.2
EV/EBITDA (adj) (x)	20.0	19.4	18.0	16.6	18.5
EV/EBIT (adj) (x)	21.6	20.9	19.4	17.8	19.9
Equity FCF yield (%)	1.6	3.3	3.9	4.3	3.3
P/BV (x)	11.1	11.0	9.3	7.9	9.8
Dividend yield (%)	2.9	3.0	3.1	3.2	3.0
Total debt/capital (%)	62.8	62.7	58.6	54.6	59.7
Net debt/EBITDA (adj) (x)	2.0	2.2	1.9	1.6	1.9
Selected operating metrics	2024A	2025E	2026E	2027E	Average
Organic sales growth (%)	12.0	6.2	5.7	5.7	7.4
Volume growth (%)	2.0	2.4	3.1	3.5	2.8
Price growth (%)	11.0	3.8	2.6	2.2	4.9

Note: FY End Dec

Source: Company data, Bloomberg, Barclays Research

Price (11-Feb-2025) **USD 67.60**
 Price Target **USD 73.00**

Why OVERWEIGHT?

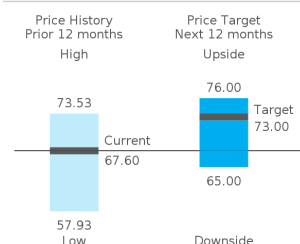
We expect KO's comprehensive transformation to re-accelerate the top and bottom line. As the company demonstrates an ability to sustainably deliver its algorithm, we expect more valuation credit to be given.

Upside case USD 76.00

Our upside case assumes that KO trades at a +7.5% premium to the more defensive, multi-national peers on upside 2025 EPS of \$3.00.

Downside case USD 65.00

Our downside case assumes that KO trades at a -5% discount to the more defensive, multi-national peers on downside 2025 EPS of \$2.88.

Upside/Downside scenarios

Breath of Fresh Air

What to do with the stock: KO's 4Q print was a welcomed respite amidst a broader volatile C4Q earnings season in Staples. We saw nothing to pick at in results, nor any big surprises in the outlook that, importantly, feels credible and largely within KO's control to execute on regardless of the dynamic macro environment. This is precisely the kind of defense and visibility that had made this one of the most favored names within the Staples universe this year – and this reaffirmation of sentiment was evident in KO's outperformance (+4.7% vs. XLP +1.0% on the day). Even with shares now trading at ~23x, we reiterate our Overweight rating given 1) our confidence in KO's OSG that screens highly attractive across the group and 2) the relative insulation that KO's global portfolio and footprint enjoys to various headline risks that are weighing on the rest of Staples (e.g. tariffs, GLP1s and broader health & wellness trends in the US).

The 4Q print was a highly validating manifestation of KO's System transformation yielding a more agile network to drive the top-line. Put simply, we think 4Q results capped off a year featuring a variety of tactical adjustments that embody all the reasons we've liked KO for some time. Recall we've long been intrigued by the organizational changes at KO that would empower regional business units to adapt to local market dynamics ([Institutionalizing The Change](#), 10/08/20), and we've appreciated the improved economic alignment between KO and its bottlers than has created stronger local partners that can reinvest in seemingly ever-increasing capabilities to assess and react to market conditions at a highly granular level ([State of the Union](#), 04/12/22).

The tactical adjustments made over the last several quarters highlight the degree to which the System is now more nimble and can better respond to, and make decisions on, real-time data. Case in point would be China and the Eurasia & Middle East regions. Recall, KO called out challenges in those markets at our conference in September and then APAC and EMEA were the main drivers of negative volume surprise at 3Q. But KO has been anything but complacent in these markets, and China, Eurasia & Middle East all returned to volume growth in 4Q. As a reminder, KO made the decision to refocus on what it deemed the most attractive categories in China back in late 2023 and that effort, plus an acceleration in cold placements in more recent quarters, helped drive trademark Coke share gains and volume improvement across several focus brands in 4Q. Eurasia & Middle East also benefited from the increased cooler placements, along with initiatives that emphasized the local nature of operations (e.g. "Made In, Made By" campaign in Türkiye that supported brand Coke). And while Africa remained challenged (primarily North Africa and Nigeria) in 4Q, the System dialed up its affordability-oriented price pack architecture during the quarter and is going to focus on increasing cold placements here too so we'll be interested to see how the region's volumes trend in the months ahead. Lastly, while this is not an example that played out in 2024, we would highlight the System's ability to pivot its package mix in the US if/when needed to help manage higher aluminum costs in light of potential US tariffs ahead while still maintaining value-oriented offerings to consumer as another example of the adaptability now inherent in the model that can help protect (and drive) compelling sales growth.

And although KO's all-weather strategy to drive the top-line (understandably) tends to get plenty of airtime, what struck us most this quarter was the strength of KO's 2025 profit guide. To be sure, KO ended 2024 with robust OSG outperformance (~570 bps ahead of our forecast after excluding the ~1.5-point swing in concentrate timing impact vs. our estimate) that was right up there with some of the best beats we saw from HPC C4Q earnings, and this level of momentum is surely encouraging at a time when many other Staples companies/categories are facing debates about structurally impaired growth. But what is even more noteworthy in our view is KO's ability to guide broadly in-line with expectations on EPS growth despite worsened

FX and tax that amount to over a 300 bps drag on bottom line growth vs. our prior model. Sometimes, such an outlook might spark concerns that a company is cutting too much in order to meet those profit growth expectations. But we think KO sets itself apart with its ability to not just drive sales outperformance but also to better leverage that growth across the P&L, even in the face of tougher non-controllables.

We've previously written about how it felt as if the once elusive benefits of operating via a franchise model have become increasingly apparent – aided in part by KO's reframing of core capabilities (e.g. marketing and innovation) to better capitalize on its scale, yield stronger in-market execution by the System and generate improved returns ([Proof is in the P&L](#), 01/18/24). There were many tangible examples of KO's integrated marketing and innovation success during the quarter (e.g. Foodmarks campaign with Coke in over 7k APAC outlets, Thumbs Up with Movies in India, and Sprite with spicy meals in Europe, Fanta Beetlejuice and Sprite Winter Spiced Cranberry in the US, to name a few). And KO has made clear that this is enabling more productive spend, as opposed to a reduction in total working dollar spend. But of course, there are real productivity savings also coming through the P&L around things like procurement. What's more, we think strategic resource allocation decisions (i.e. focusing on the most attractive profit pools by country/category) are helping to drive favorable mix over time, which (combined with ongoing productivity efforts) is translating to meaningful margin expansion. Recall the medium-term algorithm implies ~50 bps of operating margin expansion p.a. That said, 2024 landed at ~160 bps on an underlying basis, and we look for another ~150 bps of underlying margin expansion in 2025 (to be offset by ~100 bps of currency).

Changes to the model. In short, we anchor to the high end of KO's +5-6% organic sales guidance but the low end of the all-in +2-3% EPS growth guide as we absorb incremental FX and tax on the bottom line. Stronger operating profit growth and less below-the-line deleverage between operating profit and profit before tax (aggregate ~+8c impact) was largely offset by the 180 bps increase to 2025E tax (-7c headwind), such that we raise our 2025E EPS +1c to \$2.94.

Compared to our prior model, our 2025E OSG is ~45 bps lower to +6.2%, with the change driven by tempered concentrate (now +2.4% from +3%) while we still look for price/mix that is slightly below ~4% (+15 bps to 3.8%). Of note, the tailwind of high inflationary market pricing will wane over 2025, and we ultimately look for price/mix to steadily normalize over the year from +5.7% in 1Q25 to a more normal +2.3% run-rate by 4Q25. And we look for LSD volume growth across the year, with 2Q25 representing the trough (+1.2%) given the toughest comp posed by 2Q24. We look for UCV growth that is in-line with concentrate volumes for the full year (+2.4%) but a steadier cadence over the course of the year vs. concentrate volumes. We widened our FX drag by -90 bps to -3.2% (vs. KO's guide for 3-4% headwind), although we also tempered our structural headwind by ~30 bps to -0.6% (vs. KO's guide for "slight headwind") driven by KO not yet lapping the CCEP's Philippines acquisition until late February. All in, we lower our net sales growth by ~100 bps to +2.4%.

We look for +40 bps of gross margin expansion, that reflects +70 bps of underlying expansion largely offset by currency (-50 bps drag) along with a ~15 structural tailwind from refranchising. And similarly, our operating margin is up +70 bps, representing ~50 bps underlying growth net of FX and a +15 bps structural benefit. Looking below-the-line, there were several favorable adjustments vs. our prior model given KO's comments that it does not expect significant deleverage between operating profit and profit before tax. More specifically, we lowered our net interest expense to ~\$800mm (from \$880mm), look for +HSD equity income growth (from +MSD) and now model ~\$100mm in other income (from \$80mm). However, our updated tax rate of 20.8% (from 19%) reflects an incremental ~230 bps drag on EPS growth, and we ultimately now look for +2.0% EPS growth in 2025.

Our valuation methodology now considers a more narrow set of defensive, multinational peers. Raise PT to \$73. Most of Staples is weighed down by some combination of concerns on GLP1s, MAHA, broader health & wellness trends, and/or tariffs. But we believe KO's portfolio and footprint enjoy better relative insulation to these overhangs than most of Staples - and as such, we view CL and PG as the most appropriate immediate peers. Our new valuation methodology assumes a +5% premium to the more defensive, multi-national peers or a ~24.8x multiple on a P/E basis on our 2025 EPS estimate of \$2.94. Our prior price target of \$66 assumed a +25% premium to the full Large-Cap Staples peer set or a ~22.5x multiple on a P/E basis on our CY25 EPS estimate of \$2.93.

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The Coca-Cola Company (KO, 11-Feb-2025, USD 67.60), Overweight/Neutral, A/CD/CE/D/E/J/K/L/M/N

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U.S. CHPC & Beverages

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Constellation Brands (STZ)	Coty Inc. (COTY)	Edgewell Personal Care Company (EPC)
Energizer Holdings, Inc (ENR)	International Flavors & Fragrances (IFF)	Kenvue Inc. (KVUE)
Keurig Dr Pepper (KDP)	Kimberly-Clark Corp. (KMB)	Molson Coors Beverage Company (TAP)

Newell Brands Inc. (NWL)	ODDITY Tech Ltd. (ODD)	Olaplex Holdings, Inc. (OLPX)
PepsiCo Inc. (PEP)	Procter & Gamble (PG)	Reynolds Consumer Products (REYN)
The Coca-Cola Company (KO)	The Estée Lauder Companies (EL)	

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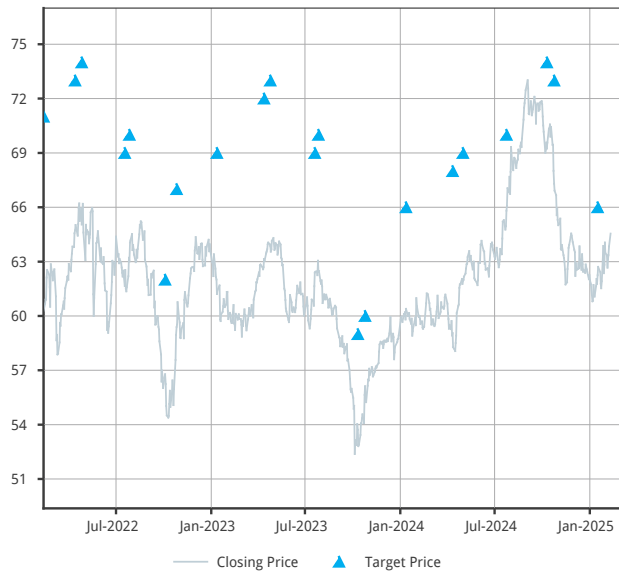
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 67.60** (11-Feb-2025)

Rating and Price Target Chart - USD (as of 11-Feb-2025)

Currency=USD



Source: IDC, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target
16-Jan-2025	61.77		66.00
24-Oct-2024	68.01		73.00
10-Oct-2024	69.57		74.00
24-Jul-2024	64.96		70.00
01-May-2024	61.77		69.00
11-Apr-2024	59.72		68.00
12-Jan-2024	59.81		66.00
25-Oct-2023	55.64		60.00
11-Oct-2023	54.03		59.00
27-Jul-2023	63.05		70.00
20-Jul-2023	61.64		69.00
25-Apr-2023	63.95		73.00
13-Apr-2023	62.69		72.00
12-Jan-2023	61.21		69.00
26-Oct-2022	58.95		67.00
04-Oct-2022	56.78		62.00
27-Jul-2022	63.21		70.00
18-Jul-2022	61.65		69.00
26-Apr-2022	65.94		74.00
13-Apr-2022	64.73		73.00

On 12-Feb-2022, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 71.00.

Source: Bloomberg, Barclays Research

*This is the closing price referenced in the publication, which may not be the last available closing price at the time of publication.

Historical stock prices and price targets may have been adjusted for stock splits and dividends.

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Valuation Methodology: Our price target of \$73 is based on a ~24.8x P/E reflecting a +5% premium to the more defensive, multinational peers on our CY25 EPS estimate of \$2.94.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: 1) FX headwinds force downward revision of estimates, 2) Slowdown in CSD category growth, 3) More sugar taxes cloud the dialogue, 4) Deterioration in North American pricing environment would hurt results

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U.S. CHPC & Beverages

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